The corresponding figures after the financing were:

June 1963	$4,681,000	$42,000 (def.)	$0.11 (def.)
June 1962	4,234,000	149,000	0.36

In 1962 the price fell to 2 2/3, and in 1964 it sold as low as 7/8. No dividends were paid during this period.

COMMENT: This was much too small a business for public participation. The stock was sold—and bought—on the basis of *one good year;* the results previously had been derisory. There was nothing in the nature of this highly competitive business to insure future stability. At the high price soon after issuance the heedless public was paying much more per dollar of earnings and assets than for most of our large and strong companies. This example is admittedly extreme, but it is far from unique; the instances of lesser, but inexcusable, overvaluations run into the hundreds.

Sequel 1965–1970

In 1965 new interests came into the company. The unprofitable building-maintenance business was sold out, and the company embarked in an entirely different venture: making electronic devices. The name was changed to Haydon Switch and Instrument Co. The earnings results have not been impressive. In the five years 1965–1969 the enterprise showed average earnings of only 8 cents per share of “old stock,” with 34 cents earned in the best year, 1967. However, in true modern style, the company split the stock 2 for 1 in 1968. The market price also ran true to Wall Street form. It advanced from 7/8 in 1964 to the equivalent of 16½ in 1968 (after the split). The price now exceeded the record set in the enthusiastic days of 1961. This time the overvaluation was much worse than before. The stock was now selling at 52 times the earnings of its only good year, and some 200 times its average earnings. Also, the company was again to report a deficit in the very year that the new high price was established. The next year, 1969, the bid price fell to $1.

QUESTIONS: Did the idiots who paid $8+ for this stock in 1968 know anything at all about the company’s previous history, its five-year earnings record, its asset value (very small)? Did they have any idea of how much—